schemes in the private fund industry that are not addressed in this rulemaking, some of which we do not currently view as rising to the level of concern set forth in section 211(h).

Some commenters offered their own interpretations of the term "sales practices."[101] A commenter interpreted the plain meaning of "sales practice" to be "a mode or method of making sales,"[102] while another commenter interpreted "sales practice" to be "a repeated or customary manner of promoting or selling goods."[103] Some commenters suggested cold calling as an example of a "sales practice."[104] Yet another commenter interpreted "sales practice" to apply only to "an adviser's marketing or promotion of its funds."[105] We agree that such interpretations involve a sales practice, and we have taken them into consideration in interpreting this term. Our interpretation is appropriate because it is sufficiently broad to capture sales practices as they continue to evolve in the industry but not so broad as to capture operational activities that are independent of sales functions. Likewise, our interpretation of "sales practice" is not so narrow that it would exclude conduct that should be within scope. For example, the term would not exclude conduct because it is not "repeated" or "customary." Similarly, it would not exclude activity that follows a period of marketing or promotion when an adviser takes steps to effectuate an investment.

Likewise, the staff has broadly interpreted the term "compensation," explaining that "the receipt of any economic benefit, whether in the form of an advisory fee or some other fee

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101 *See, e.g.*, Comment Letter of Haynes and Boone, LLP (Apr. 25, 2022) ("Haynes & Boone Comment Letter"); Comment Letter of Committee on Capital Market Regulation (Oct. 17, 2022) ("CCMR Comment Letter II"); Citadel Comment Letter.

102 *See* AIC Comment Letter I.

103 *See* CCMR Comment Letter II.

104 *See, e.g.*, AIC Comment Letter I; Citadel Comment Letter.

105 *See* Haynes & Boone Comment Letter.

relating to the total services rendered, commissions, or some other combination of the foregoing" would satisfy the "for compensation" prong of the definition of investment adviser set forth in Section 202(a)(11) of the Advisers Act.[106] A commenter suggested that fees and expenses being passed on to investors, such as accelerated monitoring fees, costs related to governmental or regulatory investigations, compliance expenses, and costs related to obtaining external financing, should be characterized as "compensation schemes."[107] Another commenter suggested that we distinguish between "compensation" and "reimbursement" for purposes of defining a "compensation scheme."[108] Previously, our staff has explained that the receipt of any economic benefit to a person providing a variety of services to a client, including investment advisory services, qualifies as "compensation."[109] It has consistently recognized that reimbursements covering only the cost of services are "compensation."[110] And staff has viewed "compensation" as including indirect payments for investment advisory services.[111] We similarly broadly interpret the term "compensation scheme" for purposes of this rulemaking to include any manner in which an investment adviser is compensated and receives economic benefit — directly or indirectly — for providing services to its clients.[112]

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106 Applicability of the Advisers Act of 1940 to Financial Planners, Pension Consultants, and Other Persons Who Provide Others with Investment Advice as a Component of Other Financial Services, Investment Advisers Act Release No. 1092 (Oct. 8, 1987) ("Release 1092"). *See also United States v. Miller*, 833 F.3d 274 (3d Cir. 2016).

107 *See* United for Respect Comment Letter I.

108 *See* Haynes & Boone Comment Letter.

109 *See* Release 1092, *supra* footnote 106, at 10.

110 CFS Securities Corp., SEC Staff Letter (Feb. 27, 1987) (expressing the staff's view that a fee designed to cover costs would constitute 'special compensation'"); Touche Holdings, Inc., SEC Staff Letter (Nov. 30, 1987) (explaining the staff's view that "[t]he compensation element is satisfied even if payments for services only cover the cost of the services").

111 *See* Release 1092, *supra* footnote 106, at 10.

112 One commenter supported a broad interpretation of "compensation scheme" and suggested that this authority has the potential to address significant failures in our markets. *See* Consumer Federation of

Commenters also argued that the Commission's approach runs contrary to the D.C. Circuit Court's decision in *Goldstein v. SEC.*[113] One commenter stated that the proposal, by offering protections directly to private fund investors, relies on the same "look-through" approach that the D.C. Circuit rejected in *Goldstein v. SEC.*[114] The exercise of our statutory authority under sections 211(h) and 206(4) is not inconsistent with the court's ruling in *Goldstein v. SEC* because section 206(4) is not limited in its application to "clients" and section 211(h) was designed to provide protection to "investors." Notably, neither section 206(4) nor 211(h) references "client," and section 211(h) references "investors" which does not exclude any particular type of investor, such as private fund investors. A plain interpretation of the statute supports a reading that Congress intended to allow the Commission to promulgate rules to protect investors directly (including private fund investors) and therefore does not contradict the court's ruling in *Goldstein v. SEC.*[115] Moreover, private fund advisers are already subject to rule 206(4)-8 under the Advisers Act, which prohibits investment advisers to pooled investment vehicles, which include private funds, from engaging in any act, practice, or course of business

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American Comment Letter. However, another commenter maintained that the statutory context indicates that "compensation schemes" should be interpreted to refer to structural incentives that may encourage a broker-dealer or investment adviser to push an investor into an unsuitable transaction. *See* AIC Comment Letter I. As discussed above, this suggested interpretation would effectively eliminate "conflicts of interest" and "compensation schemes" from the statutory language and reduce section 211(h)(2) to refer only to certain sales practices. We see no basis for reading out of the statute words Congress specifically chose to include. Another commenter stated that "compensation scheme" has yet to be applied or interpreted to prohibit indemnification provisions or the passing through of certain fee and expense types. *See* Comment Letter of Committee on Capital Market Regulation (Apr. 25, 2022) ("CCMR Comment Letter I").

113 *See, e.g.*, MFA Comment Letter I; AIC Comment Letter I; *Goldstein v. SEC*, 451 F.3d 873 (D.C. Cir. 2006) ("*Goldstein v. SEC*").

114 *See* AIC Comment Letter I; *Goldstein v. SEC*, *supra* footnote 113 (clarifying that the "client" of an investment adviser managing a pool is the pool itself, not an investor in the pool).

115 Further, the Dodd-Frank Act eliminated the "private adviser" exemption under section 203(b)(3) of the Advisers Act, which the court interpreted in *Goldstein v. SEC*. Thus, we do not believe the court's ruling in *Goldstein v. SEC* is necessarily relevant because we are not relying on repealed section 203(b)(3).

that is fraudulent, deceptive, or manipulative with respect to any investor or prospective investor in the pooled investment vehicle.[116] We recognize that the private fund is the adviser's client, but this rulemaking addresses with particularity the risk of fraud, deception, or manipulation upon investors in private funds. As a means of preventing fraudulent, deceptive, or manipulative acts upon the fund, we are also addressing the relationship with the fund investors, with whom the adviser typically negotiates the terms of its relationship with the fund. Moreover, as fund clients often lack an effective governance process that is independent of the adviser to receive or provide consent,[117] these rules protect both the fund and its investors by empowering investors to receive disclosure and provide such informed consent.

Relatedly, some commenters stated that our interpretation of our authority under section 211(h) is inconsistent with the fact that, at the same time it added section 211(h), Congress amended 211(a) to clarify that advisers do not owe a duty to private fund investors.[118] On the contrary, the fact that Congress made these amendments to 211(a) at the same time it added section 211(h) supports our interpretation. In amending section 211(a), Congress made an explicit differentiation between a fund client of an adviser and investors in such fund client for purposes of establishing potential liability under sections 206(1) and 206(2) of the Advisers Act in the Advisers Act. However, Congress did not frame 211(h) in such terms. Rather, Congress did not use the term "client" in 211(h) at all but used the term "investors" specifically in 211(h). Congress addressed adviser-client relationships when it wished, but used a different framing and different terms in 211(h).

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116 *See* rule 206(4)-8 under the Advisers Act.

117 *See supra* section I.A.

118 *See, e.g.*, Stuart Kaswell Comment Letter; AIC Comment Letter II.

Some commenters stated that section 205 provides the only authority under the Advisers Act to regulate contracts and that section 205(b) carves out contracts with funds exempt from the Investment Company Act under section 3(c)(7) of that Act.[119] While section 205(a) provides authority under the Advisers Act to regulate investment advisory contracts, it does not state that such contracts or private funds are otherwise not subject to the other provisions of the Advisers Act, including disclosure requirements, antifraud provisions, or other investor protection provisions. The plain interpretation of section 205 is that Congress intended to exempt certain private funds from the prohibition on the specified advisory contract terms set forth in section 205(a) but did not otherwise attempt to imply that private finds are broadly exempted from the requirements of the Advisers Act.

II. DISCUSSION OF RULES FOR PRIVATE FUND ADVISERS

A. Scope of Advisers Subject to the Final Private Fund Adviser Rules

The scope of advisers subject to the final private fund adviser rules is unchanged from the proposal, except as discussed below with respect to advisers to securitized asset fund.[120] The quarterly statement, audit, and adviser-led secondaries rule apply to all SEC-registered advisers, and the restricted activities and preferential treatment rules apply to all advisers to private funds, regardless of whether they are registered with the Commission. Our scoping decisions generally align with the Commission's historical approach and are based on the fact that the quarterly statement, audit, and adviser-led secondaries rules impose affirmative obligations on advisers,

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119 *See, e.g.*, SIFMA-AMG Comment Letter I; Comment Letter of Federal Regulation of Securities Committee of the Business Law Section of the American Bar Association (Apr. 28, 2022); MFA Comment Letter I.

120 The final quarterly statement, audit, adviser-led secondaries, restricted activities, and preferential treatment rules do not apply to investment advisers with respect to securitized asset funds they advise. *See* discussion below in this section II.A. All references to private funds shall not include securitized asset funds.

while the restricted activities and preferential treatment rules prohibit activity or require disclosure and, in some cases, consent.[121]

Commenters generally supported the proposed application of the quarterly statement rule, audit rule, and adviser-led secondaries rule to SEC-registered advisers.[122] One commenter asserted that the proposed quarterly statement rule and audit rule should also apply to exempt reporting advisers ("ERAs"),[123] arguing that investors in private funds advised by ERAs would similarly benefit from information about the funds' fees, expenses, and performance and from fund audits.[124] Other commenters asked for clarification that the proposed quarterly statement rule, audit rule, and adviser-led secondaries rule would not apply to an adviser whose principal office and place of business is outside of the United States (offshore adviser) with regard to any of its non-U.S. private fund clients even if the non-U.S. private fund clients have U.S. investors.[125]

We are applying these three rules to SEC-registered advisers, as proposed. No commenter requested we extend application of the adviser-led secondaries rule to ERAs or other unregistered advisers. Regarding the quarterly statement rule, we believe extending the rule to

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121 Compare the affirmative obligations in rule 204A-1 (requiring SEC-registered investment advisers to, among other things, establish, maintain and enforce a written code of ethics) and rule 206(4)-2 (requiring SEC-registered investment advisers to follow certain practices if they have custody of client funds or securities) *with* the prohibition in rule 206(4)-8 (prohibiting both registered and unregistered investment advisers to pooled investment vehicles from making false or misleading statements to, or otherwise defrauding, investors or prospective investors in those pooled vehicles).

122 *See, e.g.*, AIMA/ACC Comment Letter (adviser-led secondaries rule); Comment Letter of Standards Board for Alternative Investments (Apr. 25, 2022) ("SBAI Comment Letter") (adviser-led secondaries rule, quarterly statement rule); Comment Letter of Andrew (Apr. 25, 2022) (quarterly statement rule).

123 An exempt reporting adviser is an investment adviser that qualifies for the exemption from registration under section 203(l) of the Advisers Act or 17 CFR 275.203(m)-1 (rule 203(m)-1) under the Advisers Act.

124 Comment Letter of the North American Securities Administrators Association, Inc. (Apr. 25, 2022) ("NASAA Comment Letter").

125 *See, e.g.*, AIC Comment Letter II; Comment Letter of the British Private Equity and Venture Capital Association (Apr. 25, 2022) ("BVCA Comment Letter"); PIFF Comment Letter.

ERAs, such as venture capital fund advisers, would raise matters that we believe would benefit from further consideration—for example, whether different fee, expense, and performance information might be informative in the context of start-up investments. Similarly, while one commenter asserted that many ERAs are already obtaining audits and thus application of the audit rule would benefit investors in ERA-advised funds, we received no other comments on this topic and believe we would benefit from further comment on the benefits and costs of such a requirement, particularly from smaller ERAs.

We have previously stated, and continue to take the position, that we do not apply most of the substantive provisions of the Advisers Act with respect to the non-U.S. clients (including private funds) of an SEC-registered offshore adviser.[126] This approach was designed to provide appropriate flexibility where an adviser has its principal office and place of business outside of the United States.[127] It is appropriate to continue to apply this historical approach to these three new rules. The quarterly statement rule, audit rule, and adviser-led secondaries rule are substantive rules under the Advisers Act that we will not apply with respect to the non-U.S.

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126 *See, e.g.*, Exemptions Adopting Release, *supra* footnote 9, at 77 (Most of the substantive provisions of the Advisers Act do not apply with respect to the non-U.S. clients of a non-U.S. adviser registered with the Commission.); Registration Under the Advisers Act of Certain Hedge Fund Advisers, Investment Advisers Act Release No. 2333 (Dec. 2, 2004) [69 FR 72054, 72072 (Dec. 10, 2004)] ("Hedge Fund Adviser Release") (stating that the following rules under the Advisers Act would not apply to a registered offshore adviser, assuming it has no U.S. clients: compliance rule, custody rule, and proxy voting rule and stating that the Commission would not subject an offshore adviser to the rules governing adviser advertising [17 CFR 275.206(4)-1], or cash solicitations [17 CFR 275.206(4)-3] with respect to offshore clients). We note that our staff has taken a similar position. *See, e.g.*, American Bar Association, SEC Staff No-Action Letter (Aug. 10, 2006) (confirming that the substantive provisions of the Act do not apply to offshore advisers with respect to those advisers' offshore clients (including offshore funds) to the extent described in those letters and the Hedge Fund Adviser Release); Information Update For Advisers Relying On The Unibanco No-Action Letters, IM Information Update No. 2017-03 (Mar. 2017). Any staff statements cited represent the views of the staff. They are not a rule, regulation, or statement of the Commission. Furthermore, the Commission has neither approved nor disapproved their content. These staff statements, like all staff statements, have no legal force or effect: they do not alter or amend applicable law; and they create no new or additional obligations for any person.

127 *See, e.g.*, Investment Adviser Marketing, Investment Advisers Act Release No. 5653 (Dec. 22, 2021), at n.200 ("Marketing Release").

private fund clients of an SEC-registered offshore adviser (regardless of whether they have U.S. investors).

The restricted activities rule prohibits all private fund advisers, regardless of registration status, from engaging in certain sales practices, conflicts of interest, and compensation schemes, unless the adviser satisfies certain disclosure, and, in some cases, consent obligations. Likewise, the preferential treatment rule prohibits all private fund advisers, regardless of registration status, from providing preferential treatment to any investor in a private fund (and in some cases to any investor in a similar pool of assets), unless the adviser satisfies certain disclosure obligations.

We proposed to continue to apply the Commission's historical position on the substantive provisions of the Advisers Act to the prohibited activities rule such that the rule would not apply with respect to a registered offshore adviser's non-U.S. private funds, regardless of whether those funds have U.S. investors.[128] We requested comment on whether this approach should apply to the proposed prohibited activities rule and the other proposed rules.[129] Several commenters supported applying the Commission's historical approach to all of the proposed rules.[130] Other commenters stated that the Commission's historical approach should not apply to the proposed prohibited activities rule because it is the domicile of the investor and not the domicile of the private fund that is most important for protecting U.S. investors.[131] The Commission's historical approach applies such that none of the final rules or amendments apply with respect to the offshore fund clients of an SEC-registered offshore adviser.

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128 *See* Proposing Release, *supra* footnote 3, at section II.D.

129 *See* Proposing Release, *supra* footnote 3, at section II.D.

130 *See, e.g.*, BVCA Comment Letter; Comment Letter of Invest Europe (Apr. 25, 2022) ("Invest Europe Comment Letter"); AIC Comment Letter II; PIFF Comment Letter; AIMA/ACC Comment Letter.

131 *See, e.g.*, Healthy Markets Comment Letter I; Consumer Federation of America Comment Letter.

One commenter stated that the proposed prohibited activities rule and the preferential treatment rule should not apply to an *unregistered* offshore adviser to offshore private funds because the proposal would result in SEC-registered offshore advisers being subject to *less* regulation than offshore ERAs and other offshore unregistered advisers.[132] This commenter stated that the result would be that offshore SEC-registered advisers to offshore funds would benefit by avoiding the proposed prohibited activities rule and preferential treatment rule, while unregistered offshore advisers to offshore funds would be subject to these two rules.[133] Other commenters requested clarification that the two rules would not apply to offshore advisers, regardless of their registration status.[134] We agree with commenters and clarify that the restricted activities rule and the preferential treatment rule do not apply to offshore unregistered advisers with respect to their offshore funds (regardless of whether the funds have U.S. investors). This scoping is consistent with our historical treatment of other types of offshore advisers, including ERAs,[135] advisers relying on the foreign private adviser exemption,[136] and other unregistered advisers. One commenter stated that the Commission has historically limited the application of prescriptive rules to offshore advisers.[137] This approach is also consistent with our historical position of not applying substantive provisions of the Advisers Act to SEC-

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132 AIMA/ACC Comment Letter. *See also* SIFMA-AMG Comment Letter I.

133 AIMA/ACC Comment Letter.

134 *See, e.g.*, BVCA Comment Letter; Invest Europe Comment Letter.

135 *See* Exemptions Adopting Release, *supra* footnote 9, at 77 (stating that disregarding an offshore adviser's activities for purposes of the private fund adviser exemption reflects our long-held view that non-U.S. activities of non-U.S. advisers are less likely to implicate U.S. regulatory interests and that this territorial approach is in keeping with general principles of international comity); *see also id. at* 96 (stating that non-U.S. advisers relying on the private fund adviser exemption are subject to the Advisers Act antifraud provisions).

136 Section 402 of the Dodd-Frank Act; section 202(a)(30) of the Advisers Act.

137 BVCA Comment Letter.

registered offshore advisers with respect to their offshore clients, including private fund clients.[138]

It is appropriate to apply these two rules to all investment advisers, regardless of registration status, because these rules focus on prohibiting advisers from engaging in certain problematic sales practices, conflicts of interest, or compensation schemes.[139] Also, these rules are adopted pursuant to the authority under section 206 of the Advisers Act, which applies to all investment advisers, regardless of registration status.[140]

Several commenters addressed the proposed scope of the prohibited activities rule and the preferential treatment rule, and many commenters supported a narrower scope.[141] For example, one commenter stated that the application of the proposed prohibited activities rule to State-registered advisers would upend the balance of State and Federal authority that the National Securities Markets Improvement Act ("NSMIA") established.[142] We do not believe that the application of the restricted activities rule and the preferential treatment rule to State-registered advisers and advisers that are otherwise subject to State regulation (*e.g.*, advisers that are exempt from State registration) runs contrary to the lines NSMIA established because we are adopting

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138 BVCA Comment Letter; *see* Hedge Fund Adviser Release, *supra* footnote 126, at section II.D.4.c.

139 *See* section 211(h)(2) of the Advisers Act. Section 211(h)(2) of the Advisers Act applies to SEC- and State-registered advisers as well as other advisers that are exempt from registration and advisers that are prohibited from registering under the Advisers Act.

140 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at n.3 (stating that section 206 of the Advisers Act applies to SEC- and State-registered advisers as well as other advisers that are exempt from registration and advisers that are prohibited from registering under the Advisers Act).

141 *See, e.g.*, Comment Letter of the Investment Adviser Association (Apr. 25, 2022) ("IAA Comment Letter II") (arguing that the prohibited activities rule should not apply to State-registered advisers or ERAs, regardless of whether they are onshore or offshore); Comment Letter of Schulte Roth & Zabel LLP (Apr. 25, 2022) ("Schulte Comment Letter") (arguing that the prohibited activities rule and preferential treatment rule should not apply to unregistered advisers); AIMA/ACC Comment Letter (arguing that all of the rules should not apply to ERAs and advisers relying on the foreign private adviser exemption); SBAI Comment Letter (arguing that the prohibited activities rule should only apply to SEC RIAs).

142 IAA Comment Letter II.